

INCOME TAX INSPECTOR'S EXAM. 2019
Paper-I—Income Tax Law & Computation

Max. Marks: 150

Time: 3 Hours

Important Instructions: All questions carry one mark each. For every incorrect attempt 1/8 mark shall be deducted. In case more than one bubble is filled for a question, it will be treated as an incorrect attempt and 1/8th marks shall be deducted. In case of any doubt, the English version may be taken as authentic. Wherever Assessment Year is given, it may be taken as A.Y. 2023-24. In case of doubt in respect of the answer, choose the most appropriate option for the given question.

Q.1. In the wealth tax act the expression "irrevocable transfer", means a transfer,

- (a) Which is not revocable for a period exceeding six years or during the lifetime of the transferee.
- (b) By which the transferor derives no direct or indirect benefit.
- (c) Either (a) or (b) independently.
- (d) Simultaneously (a) & (b) together.

Q.2. A person has wilfully attempted to evade tax amounting to Rs. 30 lacs. He shall without prejudice to any penalty that may be imposed on him be punishable with rigorous imprisonment for a term

- (a) Minimum 6 months and maximum 7 years
- (b) Minimum 3 months and maximum 3 years
- (c) Minimum 3 months and maximum 2 years
- (d) Minimum 6 months and maximum 5 years.

Q.3. What is the amount in excess of which Income Tax is liable to be deducted at source on brokerage paid by any person not being an individual or Hindu Undivided Family?

- (a) Rs. 30,000/- (b) Rs. 20,000/-
- (c) Rs. 10,000/- (d) Rs. 15,000/-

Q.4. Which section of The Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 describes the tax authorities:

- (a) 5 (b) 6
- (c) 7 (d) 8.

Q.5. Which section deals with the carry forward and set off of capital loss:

- (a) section 70 (b) section 71B
- (c) section 72A (d) section 74.

Q.6. As per the provisions of section 153A, Which proceedings at the time of search shall abate

- (a) Pending proceedings and appeal and penalty proceedings will abate
- (b) completed proceedings will abate
- (c) Reassessment and appeal proceedings will abate
- (d) Pending assessment and reassessment proceedings will abate.

Q.7. At what rate tax is to be deducted at source under section 194B on lottery winnings when amount exceeds Rs. 10,000/-.

- (a) 1% (b) 5%
- (c) 20% (d) At the rates in force.

Q.8. XYZ Ltd has been covered under search operation u/s 132 of the IT Act, 1961, but has failed to furnish its return of income within the due time as required by notice given under section 153A, then it may be prosecuted under:

- (a) Section 275 (b) Section 276CC
- (c) Section 276 (d) Section 276CCC.

Q.9. Which of the following statements is false:

- (a) The CBDT has been given power to make rules for the whole or any part of India by notification in Gazette of India, for carrying out purposes of IT Act, 1961.
- (b) The CBDT has the power to make rules with regard to determination of the manner and procedure of arriving at the income of persons residing outside India.
- (c) the CBDT has the power to make rules with retrospective effect, from a date not earlier than the commencement of this Act.

- (d) Retrospective effect can be given to any rule, even if it Prejudicially affects the interests of the assessess.
- Q.10.** Under which of the following circumstances a trust cannot claim exception u/s 11?
- The property is held under trust through an irrevocable transfer
 - Only the income and not the property is held under trust
 - The property held under trust is a business undertaking
 - All of the above.
- Q.11.** For this purpose of deduction in respect of contribution given to political parties, the 'political party' need to registered under:
- Sec. 28 of Representation of People Act, 1951
 - Sec. 28A of Representation of People Act, 1957
 - Sec. 29 of Representation of People Act, 1951
 - Sec. 29A of Representation of People Act, 1951.
- Q.12.** The term "Specified Advance" as mentioned in section 269SS refers to:
- Advances taken in relation to transaction for business purpose only.
 - Advances taken in relation to transaction of transfer of shares only.
 - Advances taken in relation to transaction of transfer of immovable property only.
 - Advances taken in relation to transaction of transfer of movable property only.
- Q.13.** What is the maximum period for which a person can be detained in a civil prison in execution of a certificate for recovery of arrears?
- 3 months
 - 6 months
 - 1 year
 - 2 years.
- Q.14.** Proceedings before an Income Tax Authority shall be deemed to be judicial proceedings as per –
- Section 131
 - Section 133
 - Section 135
 - Section 136.
- Q.15.** Which of the prescribed form for seeking information in respect of assessee u/s 138(1)(b)?
- Form No. 40C of IT Rules
 - Form No. 45D of IT Rules
 - Form No. 46 of IT Rules
 - Form No. 49A of IT Rules.
- Q.16.** A political party did not disclose properties/assets held abroad by filling a return of wealth. Now, Notices can be issued for assessment of escaped wealth tax:
- Upto 16 years
 - Upto 6 years
 - Upto 4 years
 - None of the above.
- Q.17.** Deduction in respect of medical treatment etc under section 80DDB has enhanced the limit in case of senior citizen from Rs. 60,000/- to-
- 75,000
 - 2,00,000
 - 1,50,000
 - 1,00,000.
- Q.18.** The amount of total income computed in accordance with the provisions of I.T. Act, 1961 shall be rounded off as per the provision of section 288A to the nearest multiple of
- 50
 - 100
 - 10
 - 1000
- Q.19.** If the assessee files an application before the Authority for Advance Ruling 245Q(1) that can withdrawn by applicant within
- 30 days from the date of application
 - 60 days from the date of application
 - Any time before decision of authority
 - It can't be withdrawn.
- Q.20.** If any sum of money received as an advance or otherwise in the course of negotiations for transfer of a capital asset is forfeited, such sum is
- Chargeable to income-tax
 - Not chargeable to income-tax
 - Chargeable as per assessee's choice
 - None of the above.
- Q.21.** Loss from activity of owning and maintaining horses against such income can be carried forward and set off for how many years:
- 8 years
 - 4 years
 - 6 years
 - No time limit.

Q.22. As per the provisions of section 163, an "Agent" in relation to a Non resident includes any person in India:

- (a) who is employed by or on behalf of the non resident and who is a trustee of the Non resident.
- (b) who has any Business connection with the Non resident.
- (c) From or through whom the Non resident is in receipt of any income, directly or indirectly.
- (d) All the above.

Q.23. Payer shall not be liable to deduct tax at source where payee is engaged in the business of plying or hiring goods carriages and owns at any time during the previous year _____ and furnishes a declaration to that effect along with his PAN, to the person paying or crediting such sum.

- (a) 10 or less goods carriages
- (b) 5 or less goods carriages
- (c) 20 or less goods carriages
- (d) 15 or less goods carriages.

Q.24. VLC Ltd has wilfully furnished false documents in inquiry u/s 133(6) of the IT Act, 1961 with respect to assessee GAL Ltd. then VLC Ltd may be prosecuted under—

- (a) Section 276CC (b) Section 277
- (c) Section 278 (d) Section 278A.

Q.25. Which section gives the Central Government the power to remove difficulties which may arise in giving effect to the provisions of the IT Act.

- (a) Section 298 (b) Section 297
- (c) Section 296 (d) Section 295.

Q.26. If an Insurance premium becomes due on March 24, 2022 and actually paid on 1 April 2022, such premium is qualified for deduction under section 80C for the financial years:

- (a) 2021-22 (b) 2022-23
- (c) Not allowed (d) Both Years.

Q.27. Deduction in respect of interest on deposits in saving accounts dealt under:

- (a) Sec. 80TT (b) Sec. 80TTA
- (c) Sec. 80TTB (d) Sec. 80TA.

Q.28. A person took cash loan of Rs. 25,000/- in May 2020 from Mr. X and repays the entire amount by cash within the same FY. Which of the following is true about that person?

- (a) Provision of Sec. 269SS are violated to the extent of Rs. 5,000/-.
- (b) Provision of Sec. 269SS and 269T are both violated cumulatively to the extent of Rs.25,000/- only.
- (c) Provision of Sec. 269SS and 269T both are violated to the extent of Rs. 5,000/-
- (d) Provision of Sec. 269SS and 269T both are violated to the extent of Rs. 25,000/- independently.

Q.29. If the amount seized under section 132 from an assessee exceeds the amount applied towards taxes, the remaining amount is to be refunded but the assessee is:

- (a) Not entitled to any interest on this amount.
- (b) Entitled to interest at the rate of one-half percent for every month or part thereof.
- (c) Entitled to interest at the rate of nine percent per annum.
- (d) Entitled to interest at the rate of eight percent per annum.

Q.30. As per the amended provision of section 132(8) w.e.f. 1.6.2001, an order u/s 132(3) shall not be in force for period:

- (a) Exceeding 30 days from the date of such order
- (b) Exceeding 60 days from the date of such order
- (c) Exceeding 120 days from the date of such order
- (d) Exceeding 60 days from the date of such order unless extended by the Director Commissioner.

Q.31. Under the provision of sec. 133(6) of the I.T. Act an Assessing Officer is empowered to call for certain information or statement. Equivalent provision in the Wealth Tax Act, 1957 is,

- (a) Section 38 (b) Section 38A
- (c) Section 37 (d) Section 37B

Q.32. Which section of the I.T. Act, 1961 states that return of income, assessment and notice etc shall not be invalid merely by reason of any mistake, defect or omission if such return of income, assessment or notice is in substance and effect in conformity with/or according to the intent and purpose of Income-tax Act, 1961:

- (a) Section 292A of the I.T. Act, 1961
- (b) Section 292 B of the I.T. Act, 1961
- (c) Section 292BB of the I.T. Act, 1961
- (d) Section 292C of the I.T. Act, 1961.

Q.33. Interest u/s 220(2) is charged when there is a delay in payment of tax as per the demand notice. Which is the section under which notice of demand is raised?

- (a) 220(1) (b) 201
- (c) 200A (d) 156.

Q.34. As per section 56(2) of the Act, in case of an individual relative does not mean—

- (a) spouse of the individual
- (b) brother or sister of the individual
- (c) brother or sister of the spouse of the individual
- (d) children of brother or sister of the individual.

Q.35. Under which section of the Income Tax Act, amount borrowed or repaid on hundi is deemed income of the person?

- (a) section 68 (b) section 69
- (c) section 69A (d) None of the above.

Q.36. The rate of charge of tax in cases of an AOP or a BOI where the shares of the members are unknown or indeterminate is

- (a) 10% (b) 25%
- (c) 60% (d) Maximum Marginal rate.

Q.37. Mr. X received Rs. 50,000/- in cash from Mr. Y. as loan. In one of following circumstances the said cash loan shall not be deemed to be a contravention of section 269SS of the IT Act 1961?

- (a) When Mr X has agricultural income and Mr Y has income chargeable to tax under the Income Tax Act.

(b) When Mr Y has agricultural income and Mr X has income chargeable to tax under the Income Tax Act.

(c) When both of Mr X and Mr Y have agricultural income and none has income chargeable to tax under the Income Tax Act.

(d) None of the above.

Q.38. Do the Assessing Officer and TRO both have the powers to recover the arrears of the assessee from the income chargeable under the head Salaries?

- (a) A TRO has the power only when a certificate has been drawn u/s 222.
- (b) An Assessing Officer has this power if certificate is not drawn u/s 222.
- (d) Neither the Assessing Officer nor the TRO has any power to attach Salaries.
- (d) Both (a) & (b)

Q.39. Which of the following is correct in respect of allowances received by an employee from employer?

- (a) All allowances are exempt unless specifically taxable under the Act.
- (b) All allowances are taxable unless specifically exempt under the Act.
- (c) All allowances are exempt.
- (d) All allowances are taxable.

Q.40. Which section states limit on deduction under sections 80C, 80CCC and 80CD(1) is Rs. 1,50,000/-:

- (a) 80CCE (b) 80CCF
- (c) 80CCG (d) 80CCH.

Q.41. Where a property is owned by two or more persons and their respective shares are definite and ascertainable, such persons shall be—

- (a) Assessed as Association of Person (AOP).
- (b) The individual share of each person shall be included as Income from House Property in his total income.
- (c) The income from the property is exempt from income tax.
- (d) The income from such property shall be added to the cost of the property.

- Q.42. A person took cash loan of Rs. 8,000/- in FY 2020-21 from Mr. X which is outstanding. He further took cash loan of Rs. 12,000/- from Mr. X in FY 2021-22. What is the amount in contravention for purpose of sec. 269SS in AY 2022-23—
 (a) 12000 (b) 8000
 (c) 20000 (d) Nil.
- Q.43. The value or the aggregate value of the specified financial transactions during a financial year for the purpose of furnishing annual information return u/s 285 BA shall not be less than
 (a) Rs. 20,000/- (b) Rs. 50,000/-
 (c) Rs. 2,00,000/- (d) Rs. 3,00,000/-.
- Q.44. If an authorization u/s 132 has been issued or requisition u/s 132A has been made mentioning therein the name of more than one person;
 (a) the assessment or reassessment shall be made in the name of an AOP of such persons whose names appear in the authorization or requisition.
 (b) the assessment or reassessment shall be made separately in the name of each of the persons mentioned in such authorization or requisition.
 (c) the assessment or reassessment shall be made separately in the name of each of the persons found to be owners of assets during search action.
 (d) None of the above.
- Q.45. In which Act "Valuation Officer" is defined:
 (a) Income Tax Act, 1961
 (b) Wealth Tax Act, 1957
 (c) The Benami Transactions (Prohibition) Amendment Act, 2016
 (d) Black Money (Undisclosed Foreign Income & Assets) and Imposition of Tax Act, 2015.
- Q.46. An individual X makes a cash deposit of Rs. 50,000/- into his savings bank account. Subsequently he makes a transfer of Rs. 32,000/- through RTGS to another individual Y towards loan. Then:
 (a) Both X and Y is liable for penalty u/s 271D.

- (b) Only X is liable for penalty u/s 271D.
 (c) Only Y is liable for penalty u/s 271D.
 (d) Both X and Y is not liable for penalty u/s 271D.
- Q.47. A person is required to appear before an I.T. Authority on a particular date. He can choose to be represented by authorising the following—
 (a) His relative (b) His employee
 (c) His CA (d) Any of the above.
- Q.48. The penalty u/s 221 is levied in:
 (a) All cases in which the taxpayer is treated as an assessee in default.
 (b) Cases where taxpayer fails to file a return of income.
 (c) Cases where assessee fails to comply with notice u/s 142(1) or 143(2).
 (d) None of the above.
- Q.49. Now The base year for Cost Inflation Index is—
 (a) 1980-81 (b) 2001-02
 (c) 1990-91 (d) 2010-11.
- Q.50. Deduction in respect of certain donations for scientific research or rural development is covered under which section of the income tax act
 (a) 80G (b) 80GG
 (c) 80GGA (d) 80GGB.
- Q.51. The section which deals with the assessment of the Hindi Undivided Family after partition is—
 (a) 170 (b) 171
 (c) 172 (d) 172A.
- Q.52. If person responsible for deduction of tax at source, after deduction, fails to deposit the same into the Government treasury, he will be liable to pay interest @—
 (a) 1% per month or part of the month
 (b) 1.5% per month or part of the month
 (c) 2% per month or part of the month
 (d) 15% per annum.
- Q.53. Please tick the correct order of priority to be followed for set off of current depreciations, brought forward (b/f) business loss and unabsorbed depreciation—

- (a) (i) current depreciation (ii) B/F business loss (iii) Unabsorbed depreciation.
- (b) (i) B/F business loss (ii) current depreciation (iii) Unabsorbed depreciation.
- (c) (i) Unabsorbed depreciation (ii) current depreciation (iii) B/F business loss.
- (d) (i) Unabsorbed depreciation (ii) B/F business loss (iii) current depreciation.

Q.54. Which of the following income is taxable under the head salaries?

- (a) Salary received by a partner from the firm
- (b) Allowances received by a Member of Parliament
- (c) Allowances received by a Member of Legislative Assembly
- (d) Any advance of salary.

Q.55. Rebate u/s 87A allowed to individual assessee whose income does not exceed—

- (a) Rs. 5,00,000 (b) Rs. 3,50,000
- (c) Rs. 8,00,000 (d) None of the above.

Q.56. As per latest amendment under section 251 a Commissioner (Appeal) can not:

- (a) Enhance the assessment
- (b) Set aside the assessment for denovo assessment by the assessing officer
- (c) Reduce or annul the assessment
- (d) Confirm the assessment

Q.57. Mr. X receives cash loan of Rs. 19,000/- from Mr. Y in FY 2020-21. In FY 2021-22 he repays 15,000/- in May 2021 but he takes again cash loan of Rs. 20,000/- in December 2021 from Mr. Y. What is the amount in contravention for purpose of sec. 269SS in AY 2022-23.

- (a) 39,000/- (b) 20,000/-
- (c) 35,000/- (d) 24,000/-

Q.58. When a company is said to be "company in which the public are substantially interested" as per section 2(18) of the Act—

- (a) If it is a company owned by the Government or the Reserve Bank of India.
- (b) In the companies not less than twenty per cent of the shares are held (whether singly or taken together) by the Government or the Reserve Bank of India

- (c) If it is a company which is registered under section 35 of the companies Act, 1956
- (d) If the company is involving to manufacture the goods which are utilized for defence purpose.

Q.59. An asset or document seized during the course of search & seizure action should be handed over to the;

- (a) Assessing Officer having jurisdiction over such person within a period of 120 days from the date on which the last of the authorizations for search was executed.
- (b) The assessing officer having jurisdiction over such person within a period of 60 days from the date on which the last of the authorizations for search was executed.
- (c) The assessing officer having jurisdiction over such person after completion of appraisal report by the Asst DIT/Jt. DIT (Inv)
- (d) No such time limit is prescribed by the Act.

Q.60. Reason to believe as recorded u/s 132(1) can be disclosed before—

- (a) Appellate Tribunal
- (b) Concerned Assessee
- (c) Any Authority
- (d) None of the above.

Q.61. The Section of the I.T Act which deals with unexplained expenditure is:

- (a) Section 69D (b) Section 68
- (c) Section 69 (d) Section 69C.

Q.62. The CBDT can condone delay in obtaining approval, as per the provision of section:

- (a) 292 of the I.T. Act, 1961
- (b) 293 of the I.T. Act, 1961
- (c) 293B of the I.T. Act, 1961
- (d) 293C of the I.T. Act, 1961.

Q.63. Which schedule of Income Tax Act provides the procedure for recovery of tax by the Tax Recovery Officer:

- (a) Third Schedule (b) Fourth Schedule
- (c) First Schedule (d) Second Schedule.

Q.64. Under section 69B of the Income Tax Act 1961, if the assessee offers no explanation or the explanation offered by him is not in the opinion of the AO satisfactory, following is deemed to be the income of the assessee for such financial year:

- (a) Unexplained investments
- (b) Unexplained money etc.
- (c) Amount of investment etc not fully disclosed in books of accounts
- (d) Unexplained expenditure

Q.65. Deduction in respect of royalty in patents can be claimed by:

- (a) Resident Individual
- (b) Company
- (c) Non resident individual or company
- (d) All of the above.

Q.66. As per Section 47(xb), any transfer by way of conversion of preference shares of a company into _____ of that company shall not be regarded as transfer—

- (a) Bonds
- (b) Gold deposit bonds issued under gold deposit scheme 1999
- (c) Equity shares
- (d) Debentures.

Q.67. Under Section 192A if an employee makes premature withdrawal from employee's provident fund account, the requirement for tax deduction is attracted when the quantum of withdrawal exceeds:

- (a) Rs. 60,000
- (b) Rs. 70,000
- (c) Rs. 50,000
- (d) None of the above.

Q.68. Section 281 provides for the following transfers made by the assessee to be void as against any claim of tax or any other sum by him:

- (a) Sale of property for inadequate consideration
- (b) Sale of property with previous permission of Assessing Officer.
- (c) Sale of property without notice of such tax or sum payable by the assessee
- (d) Sale of property without notice of pendency of any proceedings under the Act.

Q.69. Specific method of valuation of perquisites is outlined in—

- (a) Rule 8 of Income Tax Rules
- (b) Rule 3 of Income Tax Rules
- (c) Rule 9 of Income Tax Rules
- (d) Rule 5 of Income Tax Rules.

Q.70. The deduction u/s 80GGB is allowed to—

- (a) Individual for contribution to any political party or electoral trust
- (b) Indian company for contribution to any political party or electoral trust
- (c) Indian firm for contribution to any political party or electoral trust
- (d) None of the above.

Q.71. As per section 237: If any person satisfies the _____ that the amount of tax paid by him or his behalf for any _____ exceeds the amount with which he is properly chargeable under this Act for that year, he shall be entitled to a refund of the excess.

Choose the correct words of sequence for the above blank spaces

- (a) Commissioner, Assessment Year
- (b) Joint Commissioner, Previous Year
- (c) Assessing Officer Assessment Year
- (d) Assessing Officer, Previous Year.

Q.72. The repayment of loans/ deposits in excess of Rs. 20,000/- by any person otherwise than account payee cheque/ draft/ electronic transfer is prohibited U/s 269T in case of :

- (a) Repayment to Government
- (b) Repayment to a Private Company
- (c) Repayment to a Cooperative Bank
- (d) All of the above.

Q.73. Total share capital of the company M/s. ABC Ltd. (Public are not substantially interested) is Rs. 1,00,000/- and one of the shareholder Mr. Amit's share investment is Rs. 9,500/- in the company. During the AY 2020-21, the accumulated profit of the company is Rs. 80,000/-. The company has given loan of Rs. 2,25,000/- to Mr. Amit. Please calculate the deemed dividend as per section 2 (22) (e) of the Act.

- (a) Rs. 2,25,000/-
- (b) Rs. 80,000/-

(c) Rs. 1,00,000/-

(d) No deemed dividend.

Q.74. For an Assistant Commissioner or Assistant Director to take action under Section 133A of the Act:

(a) Approval of Addl/Jt. Commissioner is not required

(b) Approval of Addl/Jt. Commissioner is required

(c) Approval Commissioner/Director is required

(d) No approval is required from any Authority.

Q.75. Income Tax is charged under section 4 of the Income Tax Act in:

(a) Previous Year

(b) Assessment Year

(c) Either (a) or (b)

(d) None of the above.

Q.76. Mr. X received a notice u/s. 142(1) of the I.T. Act, 1961 requiring him to file his return of income by a certain date but Mr. X ignored the notice. Under which section of the Act, Mr. X can be prosecuted?

(a) 276B of the I.T. Act, 1961

(b) 276BB of the I.T. Act, 1961

(c) 276C of the I.T. Act, 1961

(d) 276CC of the I.T. Act, 1961.

Q.77. Which of the following I.T. Authorities cannot accord sanction u/s. 279(1) for launch of prosecution:

(a) CIT(A) (b) CIT

(c) Addl. CIT (d) Pr. CIT

Q.78. Which section of the Act empowers the Assessing Officer to recover tax by way of attachment?

(a) 226 (b) 220

(c) 225 (d) 234.

Q.79. Under section 73(4) of the Income Tax Act, 1961, no loss in speculation business shall be carried forward for assessment year immediately succeeding the assessment year for which loss was first computed for a period more than _____:

(a) 2 assessment years

(b) 6 assessment years

(c) 5 assessment years

(d) 4 assessment years.

Q.80. GAAR stands for:

(a) Government Anti-Avoidance Rule

(b) Government Agreement-Avoidance Rule

(c) General Anti-Avoidance Rule

(d) General Agreement-Avoidance Rule.

Q.81. What is the liability of the Directors of a Private Limited Company in liquidation

(a) they are individually liable for any tax dues

(b) they are not liable for any tax dues

(c) they are jointly and severally liable for the tax dues

(d) The directors are liable only if the Private Limited Company is converted into a Public Limited Company.

Q.82. The person responsible for paying to any person any amount referred to in sub-section (2) of section 80CCB shall, under section 194F at the time of payment thereof, deduct income-tax thereon at the rate of:

(a) 20% (b) 15%

(c) 10% (d) 5%.

Q.83. Section 282 deals with:

(a) Provisional attachment of assets

(b) Prosecution for wilful attempt to evade taxes

(c) Service of notice generally

(d) Appearance by registered valuer in certain cases.

Q.84. Leave salary encashment of a private sector employee is exempt at the time of retirement in respect of _____ months of salary

(a) 10 months

(b) 20 months

(c) 1 month per year of service

(d) No limit is prescribed.

Q.85. Deduction under section 80C can be claimed for fixed deposit made in any scheduled bank, if the minimum period of deposit is:

(a) 5 years (b) 8 years

(c) 10 years (d) 12 years.

Q.86. Who can file application before the Settlement Commission on behalf of the Department to transfer cases from one Bench to another u/s 245BC.

- (a) Assessing Officer or Joint Commissioner
- (b) Additional CIT or Assessing Officer
- (c) Pr. CCIT or CCIT or Pr. CIT or CIT
- (d) Assessing Officer or Commissioner (Appeal).

Q.87. What is the maximum limit of deduction under Chapter VIA—

- (a) Gross Total Income
- (b) Net Total Income
- (c) 10% of the Gross Total Income
- (d) Gross Total Income plus weighted deductions as per the Act.

Q.88. What is the limit of deductions on entertainment allowance specifically granted by an employer to the assessee who is in receipt of a salary from the Government:

- (a) A sum equal to one fifth of his salary (exclusive of any allowance, benefit or other perquisite) or five thousand, whichever is less.
- (b) A sum equal to one tenth of his salary (exclusive of any allowance, benefit or other perquisite) or ten thousand, whichever is less.
- (c) A sum equal to one twelfth of his salary (exclusive of any allowance, benefit or other perquisite) or twelve thousand, whichever is less.
- (d) A sum equal to one twentieth of his salary (exclusive of any allowance, benefit or other perquisite) or twenty thousand, whichever is less.

Q.89. Any sum paid by the employer in respect of any expenditure actually incurred by the employee on his medical treatment is not perquisite if it doesn't exceed;

- (a) Rs. 15,000/- (b) 25,000/-
- (c) Rs. 50,000/- (d) None of the above.

Q.90. As per The Benami Transactions (Prohibition) Amendment Act 2016, what is the time limit for adjudicating authority to pass an order when a reference is received from the Initiating Officer:

- (a) Six Months (b) One Year
- (c) Two years (d) No time limit.

Q.91. A non-resident having liaison office in India is required to submit a statement in accordance to the provision of section:

- (a) 283 of the I.T. Act, 1961
- (b) 284 of the I.T. Act, 1961
- (c) 285 of the I.T. Act, 1961
- (d) 285A of the I.T. Act, 1961.

Q.92. The I.T. Act, 1961 protect the officers of the department against any civil suit or prosecution for any action done in good faith. This protection is as per the provision of Section—

- (a) 292 of the I.T. Act, 1961
- (b) 293 of the I.T. Act, 1961
- (c) 292B of the I.T. Act, 1961
- (d) 293B of the I.T. Act, 1961.

Q.93. A tax clearance certificate is provided to a person not domiciled in India or domiciled in India u/s:

- (a) 230 (b) 226
- (c) 140A (d) 119.

Q.94. Under section 72A (2) of the Income Tax Act 1961, the minimum period for amalgamated company to continue business of amalgamating company from date of amalgamation is:

- (a) five years (b) ten years
- (c) six years (d) three years.

Q.95. The Provisions of section 139AA deal with—

- (a) Quoting of Bank account number in the return of Income.
- (b) Quoting of the Aadhaar Number in the return of income.
- (c) Quoting of the PAN in the return of Income.
- (d) Quoting of the TAN in the return of Income.

Q.96. The Original return to be filed under section 139(1) is not filed in time, then what will be the status of the such return revised and filed later on Under section 139(5) of the Act—

- (a) Revised return is a Valid return
- (b) Revised return is an Invalid return

- (c) It only becomes a Defective return
(d) None of the above.

Q.97. Under section 208, it is obligatory for an assessee to pay advance tax where the tax payable is:

- (a) Rs. 10,000 or more
(b) Rs. 20,000 or more
(c) Rs. 5,000 or more
(d) Rs. 8,000 or more.

Q.98. Which of the following is not a capital asset in the case of an individual?

- (a) Paintings collection
(b) Self-occupied House
(c) Gold & Diamond Jewellery
(d) Furniture at house.

Q.99. Wealth Tax Act 1957 is abolished w.e.f.:-

- (a) 01.04.2016 (b) 01.04.2015
(c) 01.04.2017 (d) 28.02.2016.

Q.100. Deduction available in respect to rent paid by the taxpayer is dealt under:-

- (a) Sec. 80E (b) Sec. 80GGA
(c) Sec. 80CCB (d) Sec. 80GG.

Q.101. Which prescribed form is used for filing an appeal before the Commissioner(Appeal) is -

- (a) Form 36 (b) Form 36A
(c) Form 35 (d) None of the above.

Q.102. The Assessing officer has to make a reference to Transfer pricing Officer u/s 92CA of the I.T. Act, 1961 after taking previous approval from:

- (a) Joint/Addl. Commissioner
(b) Pr. Commissioner or Commissioner of Income Tax
(c) Chief Commissioner of Income Tax
(d) No permission required if transaction exceeds certain limit.

Q.103. Mr. Ali is an employee of M/s. XYZ Ltd., a shipping company and he left India. He stayed outside India for 290 days during the FY 2021-22 and he stayed 730 days outside India within

four years preceding FY 2021-22. What is his residential status India for AY 2021-22?

- (a) Resident
(b) Non resident
(c) Resident but ordinarily resident
(d) Resident but not ordinarily resident.

Q.104. "Where the AO is not satisfied about the correctness or completeness of account, the AO may make an assessment in the manner provided in section 144" is a part of-

- (a) Section 145 (b) Section 145A
(c) Section 144 (d) Section 146.

Q.105. As per The Benami Transactions (Prohibition) Amendment Act 2016, who can be Initiating Officer:

- (a) Commissioner of Income Tax
(b) Income Tax Officer
(c) Assistant Commissioner of Income Tax
(d) Joint Commissioner of Income Tax.

Q.106. If a person knowingly makes a false statement in any verification under Income Tax Act, 1961, he can be prosecuted as per the provision of section

- (a) 277 of the I.T. Act, 1961
(b) 277A of the I.T. Act, 1961
(c) 278 of the I.T. Act, 1961
(d) 278A of the I.T. Act, 1961.

Q.107. The trial of an offence under the IT. Act, 1961 can be made in the court of-

- (a) Presidency Magistrate
(b) Magistrate of the first class
(c) Any Magistrate
(d) "(a)" & "(b)".

Q.108. When an assessee has failed to pay advance tax u/s 208 or where the advance tax paid by the assessee u/s 210 is less than 90%, then interest is charged under section:

- (a) 234A (b) 234B
(c) 234C (d) 234D.

Q.109. Section 80RRA of the Income Tax Act, 1961 allows deduction in respect of-

- (a) remuneration received for services rendered outside India

- (b) professional income from foreign sources in certain cases
(c) royalty income etc. of authors of certain books other than text books
(d) None of the above.
- Q.110. Special Audit, in cases where having regards to the complexity of accounts, multiplicity of transactions, is done under section:
(a) 142(2A) (b) 142A
(c) 142(1)(a) (d) 142(2D).
- Q.111. Reference to the Valuation Officer is made under section:
(a) 142(2A) (b) 142A
(c) 142(2)(a) (d) None of the above.
- Q.112. The liability to pay interest under section 234B would arise when the advance tax plus TDS/TCS to the credit of the assessee is less than:
(a) 75% of the assessed tax
(b) 90% of the assessed tax
(c) 60% of the assessed tax
(d) 100% of the assessed tax.
- Q.113. As per fourth proviso of Section 10(38), that section will not apply to any income arising from the transfer of long term capital asset, being an equity share in a company or a unit of an equity oriented fund or a unit of a business trust, made on or after the _____
(a) 1st April 2017 (b) 1st April 2018
(c) 1st April 2019 (d) 1st April 2020
- Q.114. Where the total income of an assessee includes any income referred to in section 68, section 69, section 69A, section 69B, section 69C or section 69D, the income-tax payable on the income referred to in section 68, section 69, section 69A, section 69B, section 69C or section 69D, will be at the rate of—
(a) 20% (b) 30%
(c) 33 & 1/3 % (d) 60%.
- Q.115. Deduction in respect of maintenance including medical treatment of a dependent being a person with disability is dealt under:

- (a) Sec. 80D (b) Sec. 80DD
(c) Sec. 80U (d) Sec. 80E.
- Q.116. The final fact finding authority as per income tax proceeding is:
(a) Commissioner (Appeal)
(b) Jurisdictional High Court
(c) Income Tax Appellate Tribunal
(d) The Supreme Court.
- Q.117. In case of Non-Resident following income are not exempt from tax:
(a) Interest on Securities of bonds as notified by Central Government
(b) Interest on NRE Account
(c) Dividends from Public Ltd. Companies of India
(d) Interest in NRO Account.
- Q.118. Any income of Mutual fund registered under Securities and Exchange Board of India Act, 1992 as exempts us per the provision of as—
(a) Section 10(13A) (b) Section 10(13D)
(c) Section 10(23A) (d) Section 10(23D).
- Q.119. No person can challenge the jurisdiction of the Assessing Officer after the expiry of:
(a) 30 days from the date of issue of the notice u/s 142(1)/ 143(2)/ 144/148/153A
(b) 30 days from the date of service of the notice u/s 142(1)/ 143(2)/ 144/148/153 A
(c) 60 days from the date of issue of the notice u/s 142(1)/ 143(2)/ 144/148/153A
(d) 60 days from the date of service of the notice u/s 142(1)/ 143(2)/ 144/148/153A.
- Q.120. As per The Benami Transactions (Prohibition) Amendment Act, 2016, who can be administrator:
(a) Income Tax Inspector
(b) Income Tax Officer
(c) Assistant Commissioner of Income Tax
(d) Joint Commissioner of Income Tax.
- Q.121. What is valuation date as per Wealth Tax Act, 1957?
(a) 31st December of the previous year
(b) 31st March of the previous year
(c) 31st July of the Assessment year
(d) 30th September of the Assessment year.

Q.122. As per Section 292C, if any books of accounts/documents and assets are found during the course of search in the possession or control of a person, then it will be presumed that:

- (a) Such books of accounts, other documents or assets belong to such person
- (b) Contents of such books of accounts, other documents are true
- (c) Both "a" & "b" are incorrect
- (d) Both "a" & "b" are correct.

Q.123. If giving effect order u/s 254 in a case could not be completed within the time limit of three months, then the Assessing Officer can get the additional period, by getting approval from—

- (a) the Joint Commissioner or Additional Commissioner.
- (b) the Chief Commissioner.
- (c) the Principal Commissioner or Commissioner.
- (d) the Principal Chief Commissioner.

Q.124. Interest u/s 234C is charged when—

- (a) Advance tax paid on or before 15th day of June is less than 15% of tax due on returned income.
- (b) Advance tax paid on or before 15th day of September is less than 45% of tax due on returned income.
- (c) Advance tax paid on or before 15th day December is less than 75% of tax due on returned income,
- (d) (i), (ii) and (iii) above.

Q.125. Under which section of the Act carry forward and set off of losses by specified business referred to in section 35AD is allowed,

- (a) Section 73 (b) Section 72AB
- (c) Section 73A (d) Section 74.

Q.126. The AO shall pass an order Under section 144C(4) within—

- (a) 6 months of receipt of intimation from the assessee regarding acceptance of the draft order.

- (b) within one month of the acceptance of the draft order or expiry of the time period to file the objections before Dispute Resolution Panel.

- (c) Within two month of the expiry of time period to file objections before Dispute Resolution Panel

- (d) Within one year of receipt of the order from Dispute Resolution.

Q.127. Liability for payment of advance tax u/s.207 shall not apply to an individual resident in India, who—

- (a) does not have any income chargeable under the head "Profits and gains of business or profession"

- (b) is of the age of sixty years or more at any time during the previous year

- (c) satisfies both (a) and (b)

- (d) satisfies either (a) or (b).

Q.128. What fees is charged u/s 234E for default in furnishing statements within time limit u/s 200(3) -

- (a) Rs. 100 per day till the failure continues.

- (b) Rs. 200 per day till the failure continues.

- (c) Rs. 500 per day till the failure continues.

- (d) Rs. 1000 per day till the failure continues.

Q.129. Which of the following statements is false?

- (a) Section 293C gives power to the Central Government or the CBDT or an income-tax authority to withdraw approval granted to any assessee by them.

- (b) The authorities u/s 293C may exercise power of withdrawal of approval notwithstanding that a provision to withdraw such approval has not been specifically provided for in such provision.

- (c) The authorities u/s 293C may exercise power of withdrawal of approval without giving a reasonable opportunity of showing cause against the proposed withdrawal to the assessee concerned,

- (d) The authorities u/s 293C may exercise power of withdrawal of approval after recording the reasons for doing so.

Q.130. Which of the following is true about the orders passed under section 12AA or under section 80G rejecting the registration of trust or approval under section 80G or 12AA?

- (a) The orders are not appealable
- (b) The orders are appealable and appeal lies to the ITAT
- (c) The orders are appealable and appeal lies to the CIT (Appeals)
- (d) The orders are appealable and appeal lies to the High Court.

Q.131. Rates of TCS have been fixed for different categories of goods sold or license issued. In which of the following cases, rate of TCS is less than 2%.

- (a) sale of timber obtained under a forest lease
- (b) sale of any forest produce not being timber or tendu leave
- (c) mining and quarrying
- (d) minerals being coal or lignite or iron ore.

Q.132. As per section 260(B) cases before High Court to be heard by-

- (a) Not more than Two Judges
- (b) Not less than Two Judges
- (c) Not more than one Judge
- (d) None of above.

Q.133. Which of the following would not form fees for Technical Services as per I.T. Act, 1961-

- (a) Any consideration for managerial services
- (b) Any consideration for technical services
- (c) Any consideration for consultancy services
- (d) Any consideration for construction services.

Q.134. Which of the following statement is not true-

- (a) Dividend referred to in section 115-O of the Act is exempted u/s. 10(23F)
- (b) Long term capital gain arising on transfer of equity share or unit of mutual fund where Securities transaction tax paid, is exempted u/s. 10(34) of the Act

- (c) Share of profit of the partner of a firm which is separately assessed in the hands of firm is exempted u/s. 10(4) of the Act
- (d) All of the above.

Q.135. Where there is a change in incumbent due to change in jurisdiction or transfer of case from one jurisdiction to another the succeeding officer can continue the proceedings from the stage at which the proceedings left by his predecessor provided succeeding officer affords the Opportunity of being reheard, if demanded by the assessee. These provisions are mentioned in-

- (a) Section 119 of the IT Act, 1961
- (b) Section 120 of the IT Act, 1961
- (c) Section 124 of the IT Act, 1961
- (d) Section 129 of the IT Act, 1961.

Q.136. Which section of The Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 describes time limit for completion of assessment:

- (a) 9
- (b) 10
- (c) 11
- (d) 12.

Q.137. The term of rigorous imprisonment shall not be less than 3 months but may extend to _____ years with fine if a person commits offence u/s. 276B of the I.T. Act-

- (a) 2
- (b) 7
- (c) 3
- (d) None of the above.

Q.138. A penalty u/s 271B was initiated on 30 December 2022 the proceedings will get time barred on:

- (a) 31st March 2023
- (b) 30th June 2023
- (c) 31st March 2024
- (d) 31st December 2023.

Q.139. With effect from 1.4.2018, "short-term capital asset" in the case of an immovable property, being land or building or both, means a capital asset held by an assessee for not more than _____ months immediately preceding the date of its transfer:

- (a) thirty six
- (b) twenty four

- (c) twelve
(d) none of the above.
- Q.140.** Deduction in respect of interest on loan taken for higher education is allowed under which section:
(a) Section 80E (b) Section 80EE
(c) Section 80F (d) Section 80G
- Q.141.** Under the provisions of section 148, the Assessing Officer can reopen an assessment if—
(a) Is of the opinion that income has escaped assessment.
(b) Has reason to believe that income has escaped assessment.
(c) It is third party information.
(d) He is directed by the Commissioner.
- Q.142.** No tax shall be deducted under Section 194A where the amount of such income or as the case may be, the aggregate of the amounts of such income credited or paid or likely to be credited or paid during the financial year to the account of the payee, does not exceed _____ where the payer is a banking company (including any bank or banking institution):—
(a) Rs. 40,000 (b) Rs. 50,000
(c) Rs. 30,000 (d) Rs. 25,000.
- Q.143.** If an employer fails to pay to the credit of the Central Government the tax deducted at source by him on the salaries paid to his employees u/s 192 of the IT Act, 1961, he shall be liable for prosecution under:
(a) Section 276 (b) Section 276A
(c) Section 276B (d) Section 276AB
- Q.144.** Power of the CBDT to make rules is given in which section:
(a) Section 294 (b) Section 294A
(c) Section 295 (d) Section 297.
- Q.145.** Which of the following is NOT treated as application of income for charitable purpose for the purpose of claiming exemption u/s 11 and 12?
(a) Purchase of capital asset
(b) Repayment of loan taken for construction of building
(c) Loan to another charitable trust registered u/s 12AA
(d) Payment of taxes of the trust.
- Q.146.** In case assessee or his nominee receives any amount, in respect of which deduction was allowed under Section 80CCD, (including interest or bonus thereon) on closure or his opting out of the pension scheme, or as pension, then, such amount shall not be taxable:
(a) If such amount is used for purchasing an annuity plan in the same previous year.
(b) If such amount is used for business of the assessee.
(c) If such amount is expended for personal purposes.
(d) None of these.
- Q.147.** A person took cash loan of Rs. 15,000/- each from Mr. X, Mr. Y and Mr. Z in F.Y. 2021-22. Which of the following is true:
(a) There is violation of provisions of 296SS to the extent of Rs. 45,000/-.
(b) There is no violation of provisions of 296SS of the IT Act.
(c) Violation is to the extent of Rs. 25,000/- only.
(d) Violation is to the extent of Rs. 30,000/- only.
- Q.148.** If the taxpayer incurs loss from agricultural activity, then such loss:
(a) can be set off against any income, except salary income.
(b) can be set off against any income, except long term capital gains.
(c) cannot be adjusted against any other taxable income
(d) can be adjusted against other taxable income.
- Q.149.** The relevant Rule of the Income Tax Rules 1962 relating to claim of refund under section 239 is:
(a) Rule 31 (b) Rule 30
(c) Rule 32 (d) Rule 41.

Q.150. Do the TRO need to issue any notice after drawing certificate u/s 222?

- There is no such requirement.
- Notice is required to be served allowing 30 days time to pay the amount.
- Notice is required to be issued allowing 35 days time to pay the amount.
- Notice is required to be served allowing 15 days time to pay the amount.

ANSWERS

1.(d)	2.(a)	3.(d)	4.(b)	5.(d)	6.(d)	7.(d)	8.(d)	9.(d)	10.(b)
11.(d)	12.(c)	13.(b)	14.(d)	15.(c)	16.(d)	17.(d)	18.(c)	19.(a)	20.(a)
21.(b)	22.(d)	23.(a)	24.(b)	25.(a)	26.(b)	27.(b)	28.(d)	29.(b)	30.(b)
31.(a)	32.(b)	33.(d)	34.(d)	35.(d)	36.(d)	37.(c)	38.(d)	39.(b)	40.(a)
41.(b)	42.(c)	43.(b)	44.(b)	45.(b)	46.(d)	47.(d)	48.(a)	49.(b)	50.(c)
51.(b)	52.(b)	53.(a)	54.(d)	55.(a)	56.(b)	57.(d)	58.(a)	59.(b)	60.(d)
61.(d)	62.(c)	63.(d)	64.(c)	65.(a)	66.(c)	67.(c)	68.(a)	69.(b)	70.(b)
71.(c)	72.(b)	73.(d)	74.(b)	75.(c)	76.(d)	77.(c)	78.(a)	79.(d)	80.(c)
81.(c)	82.(a)	83.(c)	84.(a)	85.(a)	86.(c)	87.(a)	88.(a)	89.(d)	90.(b)
91.(c)	92.(b)	93.(a)	94.(a)	95.(b)	96.(a)	97.(a)	98.(d)	99.(a) or (b)	100.(d)
101.(c)	102.(b)	103.(b)	104.(a)	105.(c)	106.(a)	107.(d)	108.(b)	109.(a)	110.(a)
111.(b)	112.(b)	113.(b)	114.(d)	115.(b)	116.(c)	117.(d)	118.(d)	119.(b)	120.(b)
121.(b)	122.(d)	123.(c)	124.(d)	125.(c)	126.(b)	127.(c)	128.(b)	129.(c)	130.(b)
131.(d)	132.(b)	133.(d)	134.(d)	135.(d)	136.(c)	137.(b)	138.(b)	139.(b)	140.(a)
141.(b)	142.(a)	143.(c)	144.(c)	145.(c)	146.(d)	147.(b)	148.(c)	149.(d)	150.(a).